

ICAP Strategic Case Study

Summer 2026 - Predicted Paper 10

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Instructions to candidates

- This paper should be read together with the Pre-Exam Information for KMCH issued by ICAP for the Summer 2026 attempt.
- The appendices below provide new information for this paper. They do not repeat all relevant pre-seen facts. You are expected to use the pre-seen material, the new information and your professional judgement when answering the requirements.
- Do not assume that the appendices provide a complete analysis. They contain raw notes, management comments and financial data which you should interpret and apply.
- Show all workings for numerical requirements. Marks will be awarded for calculations, interpretation, practical judgement, commercial awareness and clear recommendations.
- Assume that all monetary amounts are in Pakistani Rupees (Rs.) million unless stated otherwise.

Additional information provided in this paper

- Appendix 1 - Email from the Chair on Lioncrest's accelerated IPO proposal
- Appendix 2 - Notes from the IPO readiness discussion
- Appendix 3 - Draft equity story, investor questions and KPI pack
- Appendix 4 - Proposed use of IPO proceeds and capital allocation data
- Appendix 5 - Valuation, IPO pricing and Lioncrest proposal information
- Appendix 6 - Governance, tax, legal, reporting and market-communication matters

Requirements

Question 1

(a) Using the pre-seen material and Appendices 1 and 2, evaluate whether KMCH is ready to pursue an IPO within 12-18 months as suggested by Lioncrest, and identify the key issues that must be addressed before listing.

(12 marks)

(b) Using Appendices 2 and 3 and relevant pre-seen information, advise what equity story KMCH should present to potential IPO investors, what weaknesses could undermine investor confidence, and what financial and non-financial KPIs should be prepared to support the IPO narrative.

(12 marks)

(c) Using Appendix 4, evaluate how IPO proceeds should be allocated between debt reduction, fleet expansion, technology / platform investment, working capital buffer and possible acquisitions. Recommend a balanced use-of-proceeds plan.

(12 marks)

Total Question 1: 36 marks

Question 2

(a) Using Appendix 5, estimate KMCH's equity value using appropriate valuation methods, including EV / EBITDA multiple, P/E multiple and DCF / free cash flow valuation. Comment on the valuation range, limitations and an appropriate IPO pricing approach.

(18 marks)

(b) Using Appendix 5, calculate the ownership dilution and implied valuation under the proposed IPO and compare it with Lioncrest's private investment proposal. Advise which route is financially and strategically preferable.

(12 marks)

(c) Recommend an appropriate dividend policy for KMCH after listing, considering growth plans, shareholder expectations, liquidity, signalling and public-market discipline.

(8 marks)

Total Question 2: 38 marks

Question 3

(a) Using Appendix 6 and the pre-seen material, recommend the corporate governance changes KMCH should implement before listing, including Board composition, independent directors, Board committees, related-party governance, internal audit, risk oversight, remuneration governance and investor protection.

(12 marks)

(b) Discuss the key tax, legal and regulatory implications of the IPO and pre-IPO restructuring, including treatment of share issue / advisory costs, withholding tax on dividends, capital gains for selling shareholders, related-party arrangements, and tax / compliance changes that may arise once KMCH becomes listed.

(8 marks)

(c) Recommend how KMCH should manage investor relations, market communication, reputation risk and sustainability-reporting expectations after listing, especially if actual performance differs from the IPO growth story.

(6 marks)

Total Question 3: 26 marks

Appendix 1 - Email from the Chair on Lioncrest's accelerated IPO proposal

The following email was circulated to the Board three days before the August strategy meeting.

Lioncrest has now completed its preliminary review of KMCH and remains interested in the company. However, its latest proposal is different from what we had expected. Lioncrest believes that KMCH should not wait three to five years before considering a public listing. It has suggested that, if the Board is willing to professionalise governance and reporting quickly, KMCH could target an IPO within 12-18 months and save approximately one year compared with the earlier private-equity route.

Lioncrest's view is that listed capital may give KMCH a stronger public profile, access to a wider investor base and a cleaner route for future fund raising. It has also suggested that the founders could retain majority control if the IPO is structured primarily as a new share issue rather than a large sponsor sell-down. Some Board members are attracted by this idea because KMCH needs capital for fleet renewal, technology investment, working capital and selective growth opportunities.

Other Board members are cautious. KMCH is still a private family business in many respects. We have grown quickly, but our reporting processes, management depth, committee structure, investor communication experience and consistency of depot-level performance may not yet be ready for public scrutiny. An IPO would also expose KMCH to market expectations and could create pressure to deliver short-term results.

I would like management to prepare a balanced paper. The question is not simply whether an IPO can raise money. The question is whether KMCH is ready to be a listed mobility business, what changes must happen before listing, how the company should be valued, how much dilution existing shareholders should accept, and whether Lioncrest's private investment route may still be a safer stepping-stone.

Appendix 2 - Notes from the IPO readiness discussion

At a preparatory meeting, the Finance Director, Company Secretary, Operations Director, HR Director and Sales and Marketing Director discussed matters that may affect IPO readiness. The notes below are incomplete working notes and have not been written as a formal recommendation.

KMCH has a recognised brand in several Pakistani cities and has developed a broader mobility offering over recent years. The pre-seen information shows that the company has premium self-drive rentals, chauffeur-driven services, corporate leasing, motorcycles and digital booking capability. Management believes that this can be positioned as a modern mobility platform rather than a traditional vehicle-rental company.

The Finance Director noted that investors will look closely at revenue quality, margin consistency, cash conversion and debt servicing. Revenue has grown, but the pre-seen material also showed pressure on cost of sales, repairs, receivables and operational consistency. Before listing, KMCH may need to show that growth is profitable, cash-generative and not dependent on unsustainable discounting or one-off contracts.

The Operations Director said that KMCH can present a strong operational story if it can show better fleet utilisation, lower vehicle downtime and consistent customer experience across depots. However, some depots still require stronger supervision, training and service discipline. Any IPO story based on digital mobility, virtual depots, peer-to-peer rentals or GCC opportunities will require systems and execution capability that are stronger than today.

The Company Secretary said that the Board currently operates more like a private company board. Several decisions are still influenced heavily by the founding shareholders. Board papers are improving but are not always supported by formal post-investment reviews, risk appetite statements or documented challenge. Related-party arrangements, director interests, family-linked suppliers and property arrangements should be identified and cleaned up before any listing process begins.

The HR Director warned that management depth will be a key investor concern. The pre-seen exit-interview feedback already highlighted training, career progression and supervision issues. Public-market investors may question whether KMCH has a second line of leadership capable of running a listed company with multiple growth initiatives.

The Sales and Marketing Director believes that an IPO could support the brand if KMCH tells a credible growth story. However, she also warned that public-market communication must be realistic. If the IPO prospectus over-promises on peer-to-peer rentals, overseas expansion, motorcycle tourism or digital monetisation, later under-performance may damage trust.

Appendix 3 - Draft equity story, investor questions and KPI pack

The advisers have prepared a first draft of possible investor messages. The draft has been shared for discussion only.

Possible investor messages include: KMCH is one of Pakistan's more organised mobility companies; the business has moved beyond traditional car rental; the company has a premium customer base, corporate leasing relationships, digital booking, telematics and opportunities in asset-light platform models; and the IPO proceeds can be used to improve fleet quality, reduce finance cost, strengthen technology and prepare the next phase of growth.

The advisers also listed likely questions from IPO investors. These include: how much of revenue growth is volume-driven rather than price-driven; whether premium pricing is sustainable; why receivable days increased; whether older depots are dragging performance; how vehicle downtime is measured; how KMCH protects customer safety; how many bookings are digital; whether customer complaints are increasing; whether staff turnover affects service quality; and whether future growth can be funded without excessive debt.

Management has discussed preparing a KPI pack before meeting investors. The draft KPIs include fleet utilisation, revenue per available vehicle day, average daily rental rate, vehicle downtime, maintenance cost per vehicle, customer satisfaction score, complaint closure time, corporate client retention, app-booking percentage, repeat customer percentage, receivable days, EBITDA margin, operating cash conversion, employee turnover, training hours, accident rate, insurance claims frequency, emissions / fuel-efficiency indicators and service availability during system disruptions.

The advisers have warned that KPIs should be consistently defined and supported by reliable data. They also said that investors will not accept only positive metrics. If KMCH discloses fleet growth and digital bookings, it should also be prepared to explain vehicle downtime, customer complaints, receivables, safety incidents and staff attrition.

Appendix 4 - Proposed use of IPO proceeds and capital allocation data

The Finance Director has modelled a possible IPO raising approximately Rs. 1,600 million gross proceeds. Estimated professional fees, underwriting, legal, marketing and listing-related cash costs are expected to be approximately Rs. 80 million, leaving net primary proceeds of approximately Rs. 1,520 million. The Board has not yet agreed how proceeds should be used.

The following possible uses of proceeds have been discussed. The numbers are preliminary and should be interpreted together with the pre-seen information about KMCH's strategy, cost pressures, working capital position and growth opportunities.

Possible use	Amount requested	Financial information provided by management	Other comments raised
Repay variable-rate bank debt	650	Current interest rate is 16% p.a. Prepayment fee is 2% of principal if repaid before maturity. Corporate tax rate assumed at 29%.	Would reduce finance cost and improve gearing before listing, but may reduce funds available for growth.
Fleet renewal and premium vehicle expansion	500	Expected incremental EBITDA: Year 1 Rs. 80m, Year 2 Rs. 120m, Year 3 Rs. 135m. Vehicles depreciated over 5 years. Additional working capital required: Rs. 55m.	May support premium brand and reduce maintenance issues. Benefits depend on utilisation and pricing.
Technology / platform upgrade	300	Expected annual operating benefit from Year 2: Rs. 95m from lower manual processing, better pricing and reduced booking leakage. Year 1 implementation benefit only Rs. 35m. Additional annual software support cost Rs. 18m.	Necessary for IPO reporting, digital booking and future platform models. Implementation risk is significant.
Working capital buffer	250	Expected to reduce seasonal overdraft usage. Overdraft rate is 17% p.a. The buffer may also reduce pressure to delay supplier payments or customer deposit refunds.	Does not create visible growth but may improve resilience and investor confidence.
Acquisition / strategic opportunity reserve	350	No confirmed target. Management wants flexibility if a small	Advisers warn that investors may dislike a vague acquisition

		technology vendor, regional depot operator or mobility partner becomes available.	reserve unless governance and criteria are clear.
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Appendix 5 - Valuation, IPO pricing and Lioncrest proposal information

The Finance Director has shared the following valuation information. It is not a final valuation report. The Board has asked for a range of values and a clear explanation of limitations.

Current ordinary shares in issue: 100 million shares. No preference shares are currently in issue. Net debt immediately before the IPO is estimated at Rs. 1,150 million. Surplus non-operating cash, if any, is not separately material.

Item	Amount / assumption
Maintainable EBITDA for valuation purposes	Rs. 720m
Maintainable depreciation	Rs. 260m
Maintainable finance cost before any IPO debt repayment	Rs. 160m
Corporate tax rate used by management	29%
Observed EV / EBITDA multiples for listed transport, logistics and mobility-adjacent companies	6.0x to 7.0x; advisers suggest applying the lower to middle part of the range for KMCH due to private-company history and execution risk
Observed P/E multiples for selected listed consumer services and logistics companies	11.0x to 13.0x; advisers note that KMCH's growth story may justify the upper end only if reporting and governance improve
IPO pricing discount suggested by advisers	10% to 15% discount to indicated fair value
Cost of equity for DCF	17%
Terminal growth rate after Year 5	4%

Projected free cash flows to firm for DCF valuation are as follows:

Year ending 31 March	2027	2028	2029	2030	2031
Free cash flow to firm	310	405	505	600	690

The IPO advisers have suggested a primary issue of 35 million new ordinary shares at an illustrative issue price of Rs. 44 per share. This would raise Rs. 1,540 million gross proceeds before issue costs. The advisers believe the issue price may need to be set below the theoretical valuation range to attract new investors and provide post-listing upside.

Lioncrest's alternative private investment proposal is to invest Rs. 1,450 million for 22% of KMCH on a post-money basis. Lioncrest would require one Board seat, consent rights over major acquisitions, debt above agreed limits, related-party transactions, CEO/CFO changes and any IPO timing decision. Lioncrest would also expect an exit route within three to five years.

Appendix 6 - Governance, tax, legal, reporting and market-communication matters

The Company Secretary and external advisers have prepared the following raw discussion notes for the Board. The notes are not a complete listing-readiness checklist.

Governance matters raised include the need for stronger independent challenge on the Board, formal Board committees, clearer delegated authority, documented risk appetite, formal related-party approval processes, director-interest declarations, stronger internal audit coverage, improved whistleblowing arrangements, remuneration governance and post-investment reviews. The advisers have reminded management that KMCH is not yet listed, but the Board should start moving towards listed-company governance standards before approaching public investors.

Some existing arrangements may need review before listing. These include family-linked property leases, repair-vendor relationships, director advances, old shareholder loans, informal guarantees, service arrangements with entities connected to management and any transaction where pricing is not clearly at arm's length. The advisers have said that unresolved related-party matters can delay IPO due diligence or reduce valuation.

Tax matters raised include whether IPO-related professional fees are capital in nature or deductible, whether costs of issuing new shares should be treated differently from general advisory or restructuring costs, whether any pre-IPO transfer of assets or contracts triggers tax consequences, and whether selling shareholders may have capital gains tax exposure if they sell shares as part of the IPO or later in the market. Dividend withholding tax and investor documentation will also need to be considered after listing.

The tax adviser said that listing itself will not make KMCH's operating profits tax-free. However, becoming listed may change the practical tax and compliance environment because investor distributions, market transactions in shares, disclosure of tax positions, related-party disclosures and withholding compliance may attract more scrutiny. Any assumption about lower tax because KMCH is listed should be verified before being included in investor materials.

Legal matters raised include conversion / restructuring steps if required by listing rules, prospectus liability, accuracy of financial and non-financial disclosures, litigation and accident claims, title to vehicles, security over financed assets, customer deposit terms, employment matters, insurance coverage and regulatory approvals. The advisers also noted that sustainability and safety claims should be supported by evidence, especially if KMCH presents itself as a responsible mobility company.

The Sales and Marketing Director asked how KMCH should communicate with investors after listing if results are below the IPO plan. The advisers replied that post-listing communication should be consistent, factual and timely. They also suggested preparing an investor-relations calendar, an external announcements policy, KPI definitions, spokesperson protocols and a process for checking sustainability-related claims before publication.